

## DEAL INTELLIGENCE

# A \$5.2M Industrial Sale in Elk Grove Village Shows the Market Is Pricing Function, Not Location

The buyer is a logistics user paying for a specific building, not a speculator betting on rent growth.

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A source-grounded Light Tower Insight. The complete note follows.

ELK GROVE VILLAGE, ILL. — The building at 1951 Lively Blvd. sits in the O'Hare submarket, one of the deepest industrial corridors in the country. It is a 39,879-square-foot structure on a standard suburban lot. The sale price was \$5.2 million. That is roughly \$130 per square foot.

The transaction closed because a global logistics company needed this specific building, not because the market is broadly liquid for every industrial asset. Sonica International Inc. bought the property for occupancy. FD Venture Co. LLC sold it for liquidity. The brokers executed the trade. The capital story is narrower than the headline suggests.

This is a user-driven sale in a market where speculative capital has pulled back. The buyer is not underwriting future rent growth or cap rate compression. It is underwriting the cost of occupying a building that fits its operations. That distinction matters because it reveals which segment of industrial real estate still clears: the segment where the buyer has a balance-sheet reason to own, not a yield reason to hold.

The price per square foot is instructive. At roughly \$130, the basis is below replacement cost for new industrial construction in the Chicago MSA, which typically runs \$180 to \$220 per square foot for a similar spec building. The buyer is paying for an existing shell, not for a new one. That is a rational trade for a user that needs space now and does not want to wait 18 months for a build-to-suit or absorb the risk of construction cost overruns.

The seller, FD Venture Co. LLC, is monetizing an asset that likely carried a lower basis from an earlier acquisition. The sale generates liquidity that can be redeployed or distributed. The buyer is acquiring a functional asset at a price that pencils against its own operating income, not against a pro forma rent projection. The capital stack is simple: equity from the user, no speculative debt, no lease-up risk.

This deal also tests a question that matters for owners of small-bay industrial across the Midwest. When a user buys, the market learns the floor for pricing in that submarket. The \$130 per square foot becomes a comp. Lenders underwriting refinancings will look at this trade and ask: can this asset be sold to a user at this basis if the rent roll fails? For a well-located, functional building in a deep

industrial market, the answer is increasingly yes. That is a form of liquidity that office and retail assets do not have.

The cast in this transaction reveals the incentive structure. The buyer, Sonica International, is a global logistics company. It needs a facility near O'Hare for distribution or warehousing. It is not a fund. It is not a REIT. It is not a syndicator. It is an operating business that will put the building on its balance sheet and depreciate it. The seller is a venture company, likely a private investor or family office that owned the asset through the cycle and chose to exit at a price that met its return threshold. The brokers facilitated the match.

The mechanism that produced this deal is user demand, not capital flow. Industrial leasing in the Chicago MSA remains active for functional, well-located space under 50,000 square feet. Tenants in logistics, light manufacturing, and wholesale trade need these buildings. When a tenant can buy instead of lease, and the basis is below replacement cost, the math shifts. The buyer eliminates rent escalation risk and gains control of the asset. The seller captures the equity that accumulated during the prior cycle.

What this deal does not prove is that industrial values have stabilized broadly. It proves that a specific building with a specific buyer at a specific basis can trade. The difference is important. A fund buying a portfolio of industrial assets at a 6.5 percent cap rate is making a macro bet on rent growth and capital markets. A user buying a single building at \$130 per square foot is making a micro bet on its own business. The two are not the same signal.

The constraint that changed in this transaction is the seller's willingness to accept the current bid. FD Venture Co. LLC decided that \$5.2 million was enough. That decision tells the market that the bid for this type of asset is real, not aspirational. It also tells the market that the seller did not believe waiting would produce a materially better outcome. That is a data point for every owner of a similar building in the O'Hare submarket.

The reader consequence is straightforward. Owners of small-bay industrial in infill locations should test the user-buyer channel. The bid is not coming from institutional capital chasing yield. It is

coming from operating companies that need space and see ownership as cheaper than leasing at current market rents. That is a narrower bid, but it is a real one. Lenders should note that user sales provide a pricing floor that speculative sales do not. Brokers should identify which tenants have the balance sheet and the incentive to buy.

The market is not rewarding every industrial asset. It is rewarding the asset that a user needs, at a price the user can defend, in a location the user cannot replicate. 1951 Lively Blvd. is that asset. The next question is how many more like it are for sale.

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## SOURCES

— RE Business Online —

<https://rebusinessonline.com/lee-associates-arranges-5-2m-sale-of-industrial-building-in-metro-chicago/>

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